1. Capacity Utilisation and Outsourcing

1.1. Capacity Utilisation and Maximum Capacity

- Maximum capacity refers to the total possible level of output that can be undertaken/sustained by a business in a given time period.
- Capacity utilisation refers to the proportion of maximum output capacity currently being achieved. It measures the efficiency of the business usage of its resources.

The following formula rate of capacity utilisation measures exactly that:

Capacity Utilisation = $\frac{\text{Current Output Level}}{\text{Maximum Output Level}} \times 100$

1.2. Operation at maximum capacity and minimum capacity

When capacity utilization is high or near max capacity, fixed costs like rent and machinery depreciation are shared among many units. This means average or unit fixed costs are lower. When capacity utilization is low, these fixed costs are spread over fewer units. Thus, average fixed costs become higher.

Benefit of Operating at Maximum Capacity:

- Average fixed cost is at lowest possible level
- Employee feel their job is secure due to constant high demand and feel proud of being a part of the business, increasing their loyalty.
- If corporated business, it increases people willingness to invest, which might raise finance.
- Business can use this for marketing purposes which might entice potential customers to check out the "hype".

Drawbacks of Operating at Maximum capacity:

- High workload can increase employee stress, affecting their performance negatively.
- Production mistakes are costly due to no slack time.
- Increased orders may lead to lost customers if not managed, it will put the long term customer relation with the business in danger.
- Continuous machine operation can delay maintenance, risking future issues.
- It can lead to fast depreciation of the machineries used by the business.

Therefore, each business aims to operate near maximum (optimal) capacity rather than the full capacity. They keep the spare capacity for unforeseen events that can inevitably occur.

1.3. Operation at excess/spare Capacity

When the level of output is below full capacity output of a business.

Businesses tries to improve their capacity utilisation which can be done in two ways: Short term & Long term

Short-term excess capacity:

This occurs due to low seasonal demand, to improve capacity utilisation in such periods, business have options such as:

- Adopting flexible production system, which lets business make different sort of product at different time of the year. This creates a need for flexible workforce which likely increases wage.
- High output levels Increases inventories, potentially costly and risky if sales don't recover.
- Having flexible employment contracts Reduces hours during low demand to cut costs, but may impact employee morale and motivation.

Long-term Excess Capacity:

This occurs due to recession or technological changes. To improve utilisation of capacity during such period, businesses can either:

1. Rationalisation: Decrease in capacity by closing production units or factories.

Advantage of Rationalisation	Disadvantage of Rationalisation
Lowers overhead costs.	Might have to bear redundancy payments.
Increases capacity utilization of remaining units.	Workers might have concerns about job security.
	Risk of industrial action.
	Potential need for increased capacity if the economy improves or new products are developed.
	Potential criticism for failing to meet social responsibilities.

2. Research and Develop New Products:

Advantages	Disadvantages
New products can replace outdated ones and enhance competitiveness.	Can be costly to develop and launch.
Quick introduction of new products may help avoid rationalization issues.	May not prevent cutbacks in time.
	Risk of launching products too rapidly without a solid market strategy, potentially leading to failure.

1.4. Capacity Shortage

When demand for a products of the business exceeds its production capacity.

To raise production capacity for long-term operation, a business considers:

- Should the business increase production level by acquiring additional production resources?

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- Should they maintain existing capacity but outsource or subcontract work to other businesses?
- Should they operate at full capacity without expansion due to potential risk of declining demand.

Businesses use the following in order to reduce long-term capacity shortage and they are:

1. Use subcontractors or outsource suppliers:

Advantages	Disadvantages
Requires no major capital investment.	Lesser control over output quality.
Comparatively quick to arrange.	It might raise administration and transport costs.
It provides greater flexibility than expanding facilities. Contracts can be ended if demand decreases.	Potential uncertainty regarding delivery times and reliability.
	Unit costs might be higher due to the supplier fulfilling its profit margin.

2. Invest in capital for expansion of production facilities:

Advantages	Disadvantages
Increases long-term capacity.	High capital costs and difficulty can occur when raising funds.
Might give access economies of scale.	The higher capacity can become a problem if demand for products of the business decreases over an extended period.
New facilities enables the business to use of the latest equipment and methods.	Building new facilities and equipping it with appropriate machineries takes time and customers might go to another business.
Business has control over quality and delivery times.	

1.5. Outsourcing

Outsourcing: Using another (a third party) to undertake a part of the production process rather than doing it within the business using the firm's own employees.

Advantages	Disadvantages
Outsourcing is usually cheaper than hiring full-time specialists and leverages economies of scale.	Outsourcing can negatively impact employee motivation and public image might be questioned due to possible redundancies and ethical standards as business might from low-wage economies.
It turns fixed costs to variable costs and allows for flexibility for the business depending on demand.	Due to hiring workers from low-wage economies, can undermine CSR commitments regarding workers and the environment.
This method can provide high-quality services or resources which might not be available internally.	Outsourced IT functions can pose security risks and accountability issues for lost data.
They helps the management to concentrate on core activities by outsourcing function such as HR or finance.	Customers may have concerns about foreign call centers and outsourced components affecting quality of the service/good they purchase, lowering their loyalty.
It frees up resources which can be used for other business improvements.	It is difficult to monitor outsourced quality. Therefore, the business need quality control on-site to ensure quality being up to the highest standards.

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